Type MS · Provision for irrecoverable debts account

Answer 1 of 7 · Question 18 part c.iii · 4 marks

2023 JUN · Paper 01 · extract 1 of 3 · find part c.iii in this mark scheme extract

18(a)	**Award marks as indicated.** An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
18(b)	**Award mark as indicated.** 4% **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $20 750 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $830 **(1of)**	**(1)**

Type MS · Provision for irrecoverable debts account

Answer 1 of 7 · Question 18 part c.iii · 4 marks

2023 JUN · Paper 01 · extract 2 of 3 · find part c.iii in this mark scheme extract

Question Number	Answer	Mark
18(c)(iii)	**Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.**	**(4)**

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$
30 April	Balance c/d	830	1 May	Balance b/d	744 **(1)**
			30 April	Income statement **(1)**	86 **(1)**
		830			830
			1 May	Balance b/d	830 **(1of)**

Question Number	Answer	Mark
18(d)	**Award marks as indicated.**	**(2)**

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation	✓ **(1)**			
Provision for irrecoverable debts		✓ **(1)**		

Question Number	Answer	Mark
18(e)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** Prudence concept states profits/assets should not be overstated **(1)** Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)** **Accept any other appropriate responses.**	**(3)**

Type MS · Provision for irrecoverable debts account

Answer 1 of 7 · Question 18 part c.iii · 4 marks

2023 JUN · Paper 01 · extract 3 of 3 · find part c.iii in this mark scheme extract

Question Number	Answer	Mark
18(f)	**Award mark as indicated. Max 1 mark.** Cash sales only **(1)** Strict credit control **(1)** **Accept any other appropriate response.**	**(1)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Provision for irrecoverable debts account

Answer 2 of 7 · Question 13 part b · 4 marks

2019 JUN · Paper 01 · find part b in this mark scheme extract

13(a)	**Award 1 mark as indicated.** $1 500 **(1)**	**(1)**

Question number	Answer AO2(4)	Mark
13(b)	**Award 1 mark for correct date, details and amounts in combination.**	**(4)**

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$
31 March 2019	Balance c/d	1 500	1 April 2018	Balance b/d	1 250 **(1)**
			31 March 2019	Income statement	250 **(1of)**
		1 500			1 500
			1 April 2019	Balance b/d	1 500 **(2/1of)**

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Provision for irrecoverable debts account

Answer 3 of 7 · Question 13 part b · 3 marks

2020 JAN · Paper 01 · find part b in this mark scheme extract

13 (a)	**Award marks as indicated.** $938 **(2) W** **W** $\$$ Trade receivables 23 620 Irrecoverable debt (170) 23 450 **(1)** x 4% = $938 **(1of)**	**(2)**

Question number	Answer	Mark

13 (b)

Award marks for each correct date, detail and amount in combination on the correct side.

Irrecoverable Debts Account

Date	Details	$	Date	Details	$
2019 Oct 31	Income statement	27 **(1of)**	2018 Nov 1	Balance b/d	965 **(1)**
31	Balance c/d	938			
		965			965
			2019 Nov 1	Balance b/d	938 **(1of)**

(3)

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Provision for irrecoverable debts account

Answer 4 of 7 · Question 17 part d · 4 marks

2020 NOV · Paper 01 · extract 1 of 2 · find part d in this mark scheme extract

17 (a)	**Award marks as indicated.** **Account** / **Debit** / **Credit** Trade receivables control / ✓ **(1)** Irrecoverable debts / ✓ **(1)**	**(2)**

Question Number	Answer	Mark
17 (b)	**Award marks as indicated.** Prudence **(1)** Accruals or matching **(1)**	**(2)**

Type MS · Provision for irrecoverable debts account

Answer 4 of 7 · Question 17 part d · 4 marks

2020 NOV · Paper 01 · extract 2 of 2 · find part d in this mark scheme extract

Question Number	Answer	Mark
17 (c)	**Award marks as indicated.** **$** Net trade receivables 42 140 **(1)** X 5% Provision at 29 February 2020 2 107 **(1of)**	**(2)**

Question Number	Answer	Mark
17 (d)	**Award 1 mark for figures plus 1 mark for correct dates and details.** **Provision for Irrecoverable Debts Account**	**(4)**

Date	Details	$	Date	Details	$
2020 Feb 29	Balance c/d	2 107	2019 Mar 1	Balance b/d	1 845 **(1)**
			2020 Feb 29	Income statement	262 **(1of)**
		2 107			2 107
			Mar 1	Balance b/d	2 107 **(1of)**

Question Number	Answer	Mark
17 (e)	**Award up to 4 marks for comments related to the reasons why it is necessary for a business to create a provision for irrecoverable debts and 1 mark for conclusion.** **For example** A business should create a provision because some amounts owing will not be received **(1)**. The effect of this will be to overstate profit for the year and trade receivables in the financial statements **(1).** This enables a business to make informed decisions **(1)** by anticipating possible future losses as soon as they become aware of them **(1).** Overall, the business will benefit from the introduction of this provision **(1).** **Accept any other appropriate responses.**	**(5)**

Type MS · Provision for irrecoverable debts account

Answer 5 of 7 · Question 13 part whole · 5 marks

2022 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

13	**Award marks as indicated and 1 mark for all correct dates.**	

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$
2022 Mar 31	Balance c/d	1 187	2021 Apr 1	Balance b/d	950 **(1)**
			2022 Mar 31	Income statement **(1)**	237 **(1)**
		1 187			1 187
			Apr 1	Balance b/d	1 187 **(1of)**

(5)

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Provision for irrecoverable debts account

Answer 6 of 7 · Question 16 part b · 3 marks

2023 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

16(a)

Award 1 mark for each correct figure as indicated.
Award 1 mark for all correct dates and details.

Trade Receivables Ledger Control Account

Date	Details	$	Date	Details	$
April 1	Balance b/d	19 900 **(1)**	March 31	Cash book / discount allowed	1 274 **(1)**
March 31	Sales day book	198 301 **(1)**		Journal / irrecoverable debts	350 **(1)**
	Cash book / Bank	210 **(1)**		Journal / contra / set off	1 325 **(1)**
				Cash book / Bank	196 612 **(1)**
				Sales returns day book	570 **(1)**
				Balance c/d	18 280
		218 411			218 411
April 1	Balance b/d	18 280 **(1of)**			

(10)

Type MS · Provision for irrecoverable debts account

Answer 6 of 7 · Question 16 part b · 3 marks

2023 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>16(b)</td><td>Award marks for correct dates, details and amounts in combination.
Provision for Irrecoverable Debts Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>March 31</td><td>Income statement</td><td>81 (1of)</td><td>April 1</td><td>Balance b/d</td><td>995 (1)</td></tr>
<tr><td></td><td>Balance c/d</td><td>914</td><td></td><td></td><td></td></tr>
<tr><td></td><td></td><td>995</td><td></td><td></td><td>995</td></tr>
<tr><td></td><td></td><td></td><td>April 1</td><td>Balance b/d</td><td>914 (1of)</td></tr>
</table></td><td>(3)</td></tr>
</table>

Question Number	Answer	Mark
16(c)	**Award marks as indicated up to max 2** Better credit control **(1)** Charge interest on late payment **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 16 = 15 MARKS

Type MS · Provision for irrecoverable debts account

Answer 7 of 7 · Question 18 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 2 · find part c in this mark scheme extract

Number		
18(a)	**Award mark as indicated.** Prudence **(1)**	**(1)**

Question Number	Answer	Mark
18(b)	**Award one mark for each identification of a method and one mark for development. Max 4 marks** • Asif could offer his trade receivables a **cash discount (1)** if they pay their accounts within a specified period **(1).** • Asif could ensure that regular **monthly statements** are sent to his trade receivables **(1)** which should remind them to pay the amount due **(1)**. • Asif could charge **interest** on late payment of accounts **(1)** which would encourage customers to settle their accounts to avoid the charge **(1).**	**(4)**

Question Number	Answer	Mark
18(c)	**Award marks for correct dates, details and amounts in combination.** **Provision for Irrecoverable Debts Account**	**(3)**

Date	Details	$	Date	Details	$
Dec 31	Balance c/d	560	Jan 1	Balance b/d	480 **(1)**
			Dec 31	Income statement	80 **(1)**
		560			560
			Jan 1	Balance b/d	560 **(1)**

Type MS · Provision for irrecoverable debts account

Answer 7 of 7 · Question 18 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award one mark for identification and one mark for development.** **Sample answer** His profit for the year would **increase (1)** as the trade receivables have **decreased** so the provision would also **decrease (1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
18(e)	**Award up to two marks for an advantage and up to two marks for a disadvantage. Award one mark for overall advice.** **Sample answer** If Asif starts selling goods for cash only, he may lose some customers **(1)** resulting in a decrease in the profit for the year **(1)** However, he will not incur any irrecoverable debts and there will be no need to maintain an allowance for irrecoverable debts **(1)** which will improve his profitability. **(1)** I believe he should proceed with his proposal and start selling goods for cash only. **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS